

Coinbase Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Coinbase Global, Inc. (COIN)
Report	Q4 2025
Release date	Thursday 12 February 2026, after close
Earnings call	5:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 12 February 2026
Read mode	transcript and news only
Time to produce	42 minutes

Source material (read this first)

Headline financials

- Q4 revenue \$1.8B, down 5% quarter over quarter. Full-year 2025 revenue \$7.2B, up 9%.
- Transaction revenue \$983M, subscription and services \$727M, both down slightly quarter over quarter.
- Adjusted EBITDA \$566M. GAAP net loss \$667M, driven by unrealized crypto losses.
- Global trading volume and market share both doubled year over year to all-time highs.

Forward guide

- Q1 2026 transaction revenue about \$420M through 10 February amid heightened volatility.
- Q1 subscription and services guided down to \$550M to \$630M on lower crypto prices, rates and rewards.
- Expenses held flat quarter over quarter.

Hedges and concerns

- Crypto market cap fell 11% in the quarter and the softness is reflected in the subscription guide.
- Brief platform interruptions affected core buy, sell and transfer functions.
- A \$718M unrealized loss on the crypto portfolio plus \$395M on strategic investments including Circle.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The stock had roughly halved from its late-October level as crypto entered a deep winter, with bitcoin well off its record.
- Expectations were low and analysts were focused on cost discipline and how much of revenue now comes from subscriptions rather than trading.
- The GAAP loss risk from marking crypto holdings to market was well understood before the print.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 28 January 2026 – hold at 3.50–3.75% after three cuts in 2025.
- **Stance read:** Hawkish hold: two of twelve voters dissented, preferring a quarter-point cut.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “We store 12% of all crypto in the world, more than the next four competitors combined” – Armstrong, prepared remarks.
2. “Q4 marked our ninth consecutive quarter of native unit inflows” – Haas, Q&A.
3. “I don’t think this market correction is that connected to any fundamentals” – Armstrong, Q&A.
4. “We’re focused on flat for the first quarter” – Haas, prepared remarks.

Your scoring – fill in below, then seal

1 Sentiment score

Score: –0.10

Rationale. A soft quarter, with revenue down, a GAAP loss from marking crypto to market and a lowered subscription guide. Against that, expenses are flat, adjusted EBITDA stayed positive and the full-year volume and share numbers hit records.

2 Directional signal

Signal: HOLD

Rationale. Weak numbers against a stock that had already halved is a stand-off. The bad news looks priced but there is nothing in the print to argue up with conviction, so HOLD.

3 Structured summary

- **Trading and volumes.** Soft and drifting down with the market.
- **Subscriptions and services.** Guided lower on crypto prices, rates and rewards.
- **Balance sheet and one-offs.** The GAAP loss is mark-to-market rather than operational.
- **Forward guide.** Defensive, built on flat costs rather than growth.

4 Evidence quotes

1. “We store 12% of all crypto in the world, more than the next four competitors combined” – Armstrong, prepared remarks (moat).
2. “Q4 marked our ninth consecutive quarter of native unit inflows” – Haas, Q&A (stickiness).
3. “I don’t think this market correction is that connected to any fundamentals” – Armstrong, Q&A (the drawdown).

— SEALED —

Overnight move and call verification

COIN close, 12 February 2026 (release day)	\$141.09
COIN open, 13 February 2026	\$153.70
Overnight move (release close → next open)	+8.94%

Call verification

- HOLD band test: $|+8.94\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **HOLD**. The correct call was **BUY**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 8.94%
D+1 close	+16.46%
D+3 close	+16.27%
D+5 close	+21.45%
D+10 close	+24.64%
D+20 close	+38.59%